

MAINS MASTER PROGRAM (MMP) 2024

ECONOMY-1;

EMPLOYMENT, SKILL DEVELOPMENT AND RELATED ISSUES

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2. PYQ - EMPLOYMENT

Q.1) While we found India's demographic dividend, we ignore the dropping rates of employability. What are we missing while doing so? Where will the jobs that India desperately needs come from? Explain. (2014, 12.5 Marks)

Q.2) The nature of economic growth in India is described as jobless growth. Do you agree with this view? Give arguments in favour of your answer. (2015, 12.5 Marks)

Q.3) "Success of 'Make in India' programme depends on the success of 'skill India' programme and radical labour reforms". Discuss with Logical arguments (2015, 12.5 marks)

Q.4) Comment on the challenges for inclusive growth which include careless and useless manpower in the Indian context. Suggest measures to be taken for facing these challenges (2016, 12.5 Marks)

Q.5) How has globalization led to the reduction of the employment in the formal sector of the Indian economy? Is increased informalisation detrimental to the development of the country? (2016, 12.5 Marks)

Q.6) Accounts for the failure of Manufacturing sector in achieving the goal of labour intensive exports rather than capital intensive exports. Suggest measure for more labour intensive rather than capital intensive exports. (2017, 10 Marks)

Q.7) "Economic growth in the recent past has been led by increase in labour productivity." Explain this statement. Suggest the growth pattern that will lead to creation of more jobs without compromising labour productivity. (2022, 15 Marks)

Q.8) Most of the unemployment in India is structural in nature. Examine the methodology adopted to compute unemployment in the country and suggest improvements. (2023, 15 Marks)

3. TOPIC 1 - CONCEPTS & DEFINITIONS

1. **Labour force:** Persons who were either 'working' (or employed) or 'seeking or available for work' (or unemployed) constitute the labour force.
 - Labour Force = Employed + Unemployed
 - Labour Force = People who are working + people who are not working but seeking work or are available to work
2. **Workers (or employed):** Persons who were engaged in any economic activity. (Economic Activity is any activity resulting in production of goods and services that add value to national product)
 - Workers were further categorised as
 - self-employed
 - regular wage /salaried employee
 - casual labour
3. **Unemployed:** Persons who are seeking work or are available to work under the prevailing conditions of work and remuneration but failed to get any work.
4. **Not in the labour force:** Persons who were neither 'working' nor 'seeking or available for work' for various reasons during the reference period were considered as 'not in the labour force'.
 - example - Persons under this category are students, those engaged in domestic duties, rentiers, pensioners, recipients of remittances, those living on alms, infirm or disabled persons, too young persons, prostitutes, etc. and casual labours not working due to sickness.
5. Thus an individual can be employed or unemployed or out of labour force
6. **Key Employment and Unemployment Indicators**
 - **Labour force participation rate (LFPR):** LFPR is defined as the percentage of persons in the labour force in the population
 - $LFPR = [(No\ of\ employed\ person + Number\ of\ unemployed\ person) / total\ population] * 100$
 - **Worker Population Ratio (WPR):** WPR defined as the percentage of employed persons in the population.
 - $WPR = [No\ of\ employed\ persons / total\ population] * 100$
 - **Proportion Unemployed (PU):** It is defined as the percentage of persons unemployed in the population.
 - $PU = [No.\ of\ unemployed\ persons / total\ population] * 100$
 - **Unemployment Rate (UR):** UR is defined as the percentage of persons unemployed among the persons in the labour force.
 - $UR = [No.\ of\ unemployed\ persons / labour\ force] * 100$
7. **Self Employed:** Persons who operated their own farm or non-farm enterprises or were engaged independently in a profession or trade on own-account or with one or a few partners were deemed to be self-employed in household enterprises. Categories of self employed are
 - own-account workers: Self-employed persons who operated their enterprises on their own account and ran their enterprise without hiring any labour were considered as own-account workers.

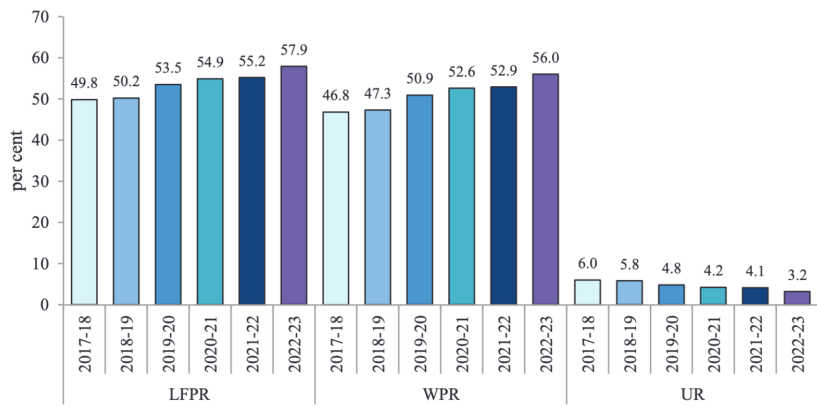
- employers: Self-employed persons ran their enterprise by hiring labour were considered as employers.
 - helpers in household enterprise.
8. **Regular wage/salaried employee**: These were persons who worked in others" farm or non-farm enterprises (both household and non-household) and, in return, received salary or wages on a regular basis (i.e. not on the basis of daily or periodic renewal of work contract).
 9. **Casual labour**: A person who was casually engaged in others" farm or non-farm enterprises (both household and non-household) and, in return, received wages according to the terms of the daily or periodic work contract, was considered as a casual labour.
 10. **Informal Sector / Unorganised sector**: unincorporated enterprises owned by households. units engaged in the production of goods or services with the primary objective of generating employment and incomes to the persons concerned. These units typically operate at a low level of organization, with little or no division between labour and capital as factors of production and on a small scale. Labour relations are mostly casual and not contractual.
 - As per National Commission for Enterprises in Unorganized Sector (NCEUS) classification, "The unorganised sector consists of all unincorporated private enterprises owned by individuals or households engaged in the sale and production of goods and services operated on a proprietary or partnership basis and with less than ten total workers."
 11. **Informal Employment** - Informal workers consist of those working in the unorganised enterprises or households, excluding regular workers with social security benefits, and the workers in the formal sector without any employment benefits /social security provided by the employers.

4. TOPIC -2 EMPLOYMENT SCENARIO - KEY FACTS [PLFS 2022-23]

1. Total Workforce - 56.5 crore
2. Labour Force Participation Rate - 57.9% (increasing trend) [male - 78.5%; female 37%]
 - Urban - 50.4% [male - 74.5%; female 25.4%]
 - Rural - 60.8% [male - 80.2%; female 41.5%]
3. Worker Population Ratio - 56% (increasing trend)
 - Urban - 47.7%
 - Rural - 59.4%
4. Unemployment Rate - 3.2% (declining trend)

Chart VIII.1: Improving annual labour market indicators (July-June period)

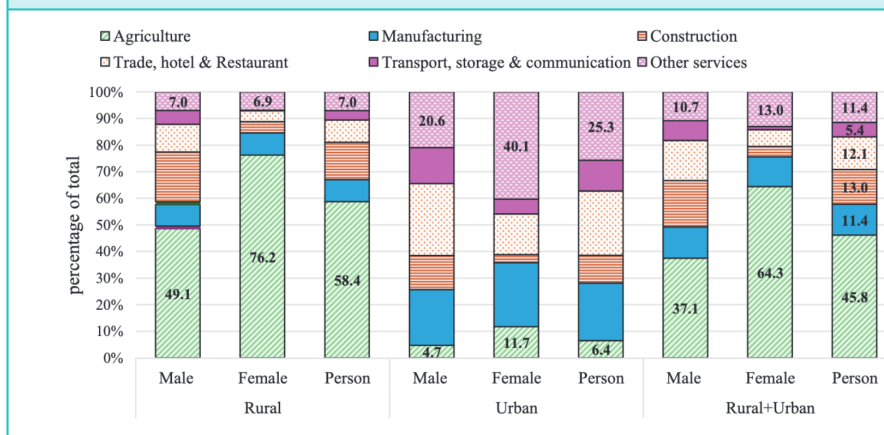
(a) Usual status, aged 15 years and above



- 5.
6. Distribution of workers by broad industry divisions

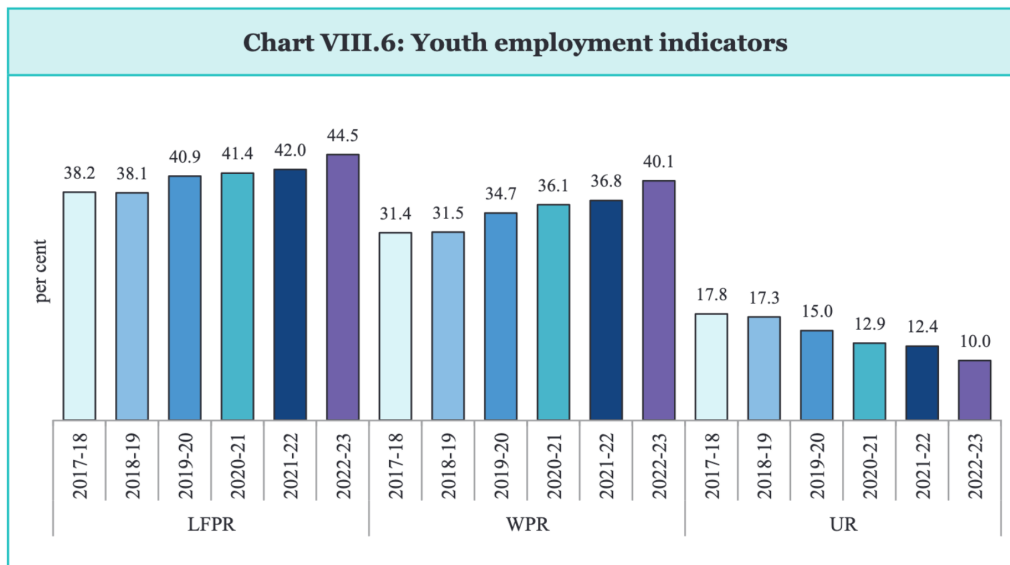
- Agriculture - 45%
- Manufacturing - 11.4%
- Construction - 13%
- Services - 28.9%

Chart VIII.3: Distribution of workers by broad industry divisions, 2022-23



- 7.
8. Employment Status of Workers
 - Self Employed - 57.3%
 - Casual Labour - 21.8%
 - regular wage/salaried workers - 20.9%
9. Employment in Informal Sector (unincorporated enterprises owned by households)
 - Employment in Informal Sector - 74.3%
10. Informalisation in the formal sector
 - percentage of regular wage/salaried employees who had no written job contract- 58.6%
 - percentage of regular wage/salaried employees not eligible for paid leave - 46.8%
 - percentage of regular wage/salaried employees not eligible for any specified social security benefit - 53.9%
11. Youth (age 15-29 years) Unemployment

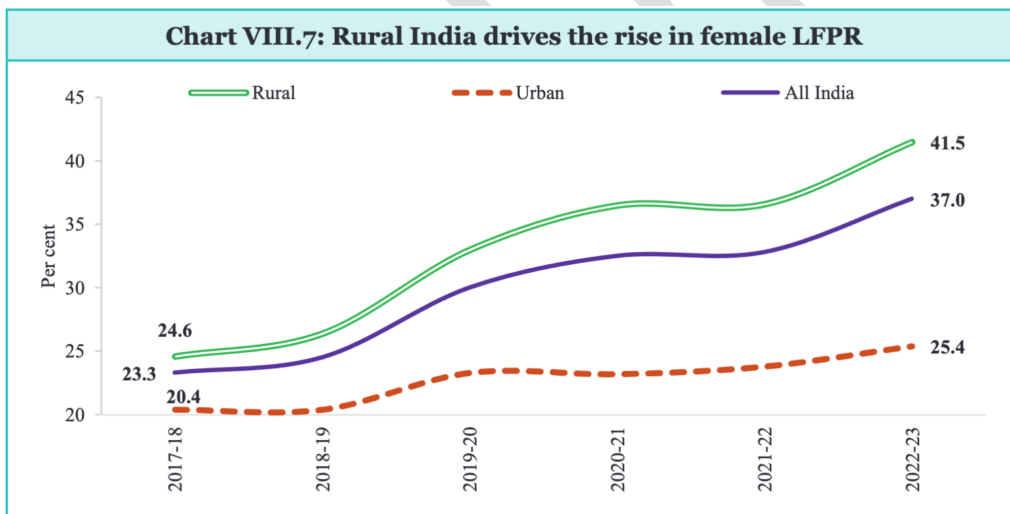
- Youth Unemployment rate - 10%
- Rural Youth Unemployment - 8% (male - 8.3%; female 7.4%)
- Urban Youth Unemployment - 15.7% (male - 13.8; female - 21.7%)
- Youth Workforce which is formally skilled - 4.4%
- Youth Workforce which is skilled through informal training - 16.6%



12.

13. Female Labour Force Participation

- Female Labour Force Participation Rate (FLFPR) - 25.4% (rural - 41.5%; male 37%)



14.

15. Unemployment rate among the educated

- Unemployment rate for educated persons (secondary level and more) - 7.3%

5. TOPIC -3 CHALLENGES OF EMPLOYMENT CREATION

Why creation of gainful employment is crucial for India

1. To exploit its demographic dividend, India must create millions of “good- safe, productive, well paying jobs.”

2. Poverty alleviation (income to poor families)
3. Promote Inclusive Development
4. Women Empowerment
5. Higher Economic Growth (good jobs → rising income → rising consumption/demand → rising production → Higher economic growth) [promotes demand led growth]
6. Social Stability (diffusing social tensions)
7. Making populace progressively less dependent on the Government for its dignified survival and sustenance

Reasons for unemployment

1. Less Focus on Labour Intensive sector

- a) Indian strategy of Industrialisation where government policies focussed more on capital intensive sectors and less on labour intensive manufacturing sectors.
- b) Use of capital intensive technologies not only fail to create new employment but also destroy traditional employment
- c) Moreover, it also accentuates the inequality situation.

2. India's Rigid and complex labour laws (more than 40 central laws and more than a 100 state-level acts and regulations)

- a. It promotes rise in contractual labour characterised by lower-wage, little or no job security, fewer benefits and social security
- b. Rise in compliance cost prevents small manufacturing units to grow in size and achieve economy of scale (Missing Middle)
- c. All this leads to large unorganised sector with low productive and low paying jobs leading to underemployment

3. Jobless Growth

- a. Low employment elasticity - Employment elasticity (percentage growth in employment for one percent growth in GDP) has fallen from close to unity in the 1970s to 0.4 in the 1990s to less than 0.1 today. Hence, the phenomenon of India's jobless growth.
- b. It is partly the result of large-scale substitution of labour with capital and automation.

4. Stagnation of Manufacturing sector

- a. India "leapfrogged from agriculture to services" and missed out on manufacturing sector.

5. Agriculture - Disguised employment –

- a. A significant portion of the population is engaged in agriculture, which is often characterized by low productivity and seasonal employment.

6. Skill Deficit

- a. According to India Skills Report 2022, only 48.7% of total youth in India is employable. This means almost 1 out of 2 Indian youths are not employable.

7. Lack of Infrastructure

- a. Inefficient infrastructure leading to stagnating manufacturing sector
- b. Low labour productivity

8. Lack of credible and authoritative data on unemployment

- a. "More than a lack of jobs, the issue is a lack of data on jobs." PM Modi (2018)
- b. Unable to accurately capture workforce engaged in informal sector (around 80%-85%) and data on Gig Workers. Also, there is a lack of data on migrant workers.

6. GOVERNMENT INITIATIVE TO BOOST EMPLOYMENT

1) Government Schemes

- a) **Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS)**
 - i) demand-driven scheme that guarantees 100 days of unskilled work per year for every rural household that wants it, covering all districts in the country except those with a 100% urban population.
 - ii) helped in "income diversification and infusing resilience into rural livelihoods".
- b) **Deendayal Antyodaya Yojana- National Rural Livelihood Mission (DAY-NRLM)**
 - i) It is one of the world's largest initiatives to improve the livelihoods of the poor.
 - ii) four core components viz., (a) social mobilization and promotion and strengthening of self-managed and financially sustainable community institutions of the rural poor women; (b) financial inclusion; (c) sustainable livelihoods; and (d) social inclusion, social development and access to entitlements through convergence.
 - iii) It seeks to reach out to around 10 Crore rural poor households in a phased manner by 2022-23 and impact their livelihoods significantly.
- c) **Deendayal Antodaya Yojana-National Urban Livelihoods Mission (DAY-NULM)**
 - i) To reduce poverty and vulnerability of the urban poor households by enabling them to access gainful self-employment and skilled wage employment opportunities,
- d) **Aatmanirbhar Bharat RojgarYojana (ABRY)**
 - i) to incentivize employers for creation of new employment along with social security benefits and restoration of loss of employment during Covid-19 pandemic.
- e) **Prime Minister's Employment Generation Programme (PMEGP)**
 - i) to facilitate generation of employment opportunities for unemployed youth across the country by assisting setting up of micro-enterprises in non-farm sector.
- f) **Production Linked Incentive Scheme**
 - i) The Production Linked Incentive (PLI) schemes is being implemented by the Government with an outlay of Rs. 1.97 lakh crore, for a period of 5 years starting from 2021-22 which have potential for creating 60 lakh new jobs.
- g) **EODB** - Liberalisation of rules, Labour reforms, Single window, GST, Bankruptcy Code
- h) **Make In India**

2) Skill Development initiative

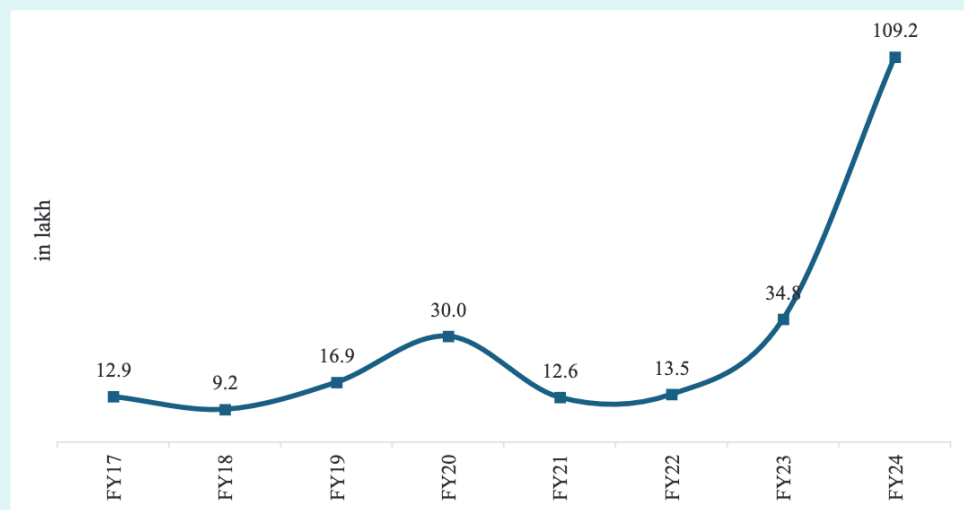
- a) **Pradhan Mantri Kaushal Vikas Yojana**
 - i) to impart short duration skill development training and certification to youth and to make them employable for better livelihood across the country.
- b) **Skill India Mission**

- i) It focuses on skilling, re-skilling and up-skilling through short term and long term training programmes. Under the Mission, the government, through more than 20 Central Ministries/Departments, is implementing various skill development schemes across the country.
- c) **National Apprenticeship Promotion Scheme**
 - i) to promote apprenticeship training in the country by providing stipend support to the apprentices, undertake capacity building of the apprenticeship ecosystem and provide advocacy assistance to support rapid growth
- d) **Jan Shikshan Sansthan**
 - i) aims to provide vocational training to non-literates, neo-literates as well as school drop-outs in rural regions by identifying skills that have a relevant market in that region.
- e) **Deendayal Upadhyay- Gramin Kaushalya Yojana (DDU-GKY)**
 - i) to skill rural youth who are poor and provide them with jobs having regular monthly wages
- 3) **Promotion to Entrepreneurship**
 - a) **Standup India**
 - i) to promote entrepreneurship at grassroot level focusing on economic empowerment and job creation.
 - ii) To promote entrepreneurship amongst women, SC & ST category;
 - iii) Provide loans for greenfield enterprises in manufacturing, services or the trading sector and activities allied to agriculture;
 - b) **Startup India**
 - i) to build a strong ecosystem for nurturing innovation, startups and encouraging private investments in startup ecosystem of the country
 - c) **Pradhan Mantri Mudra Yojana (PMMY)**
 - i) collateral-free institutional credit up to Rs. 10 lakh to eligible entity.

Box VIII.1: Initiatives to foster job creation and workers' welfare

- Launched in 2015, the **National Career Service (NCS) Portal** offers employment and career services. By 31 March 2024, it has attracted 4.1 crore jobseekers and 25.6 lakh employers. The initiative includes 407 Model Career Centres and over 46,000 job fairs, with a 52 per cent increase in candidates shortlisted for jobs in FY24 compared to FY23, indicating a more competitive job market.

Chart VIII.20: Vacancies mobilised under NCS



- The **e-Shram portal** is the first-ever national database of unorganised workers with more than 29 crore workers registered. The portal has been integrated with the NCS portal to facilitate job search and aims to integrate with other relevant portals of different central Ministries/Departments in order to facilitate access of different Central Government schemes to unorganised workers at one place.
- In October 2020, the Government introduced the Aatmanirbhar Bharat Rojgar Yojana (ABRY) to boost employment with social security benefits post-COVID-19 job losses. By 31 March 2024, the scheme benefited 60.5 lakh individuals across 1.5 lakh establishments.¹⁰
- The Government has launched two significant contributory pension schemes to ensure **minimum pension for all workers**. The Atal Pension Yojana (APY), launched in 2015, has more than 6.5 crore subscribers now.¹¹ More than 50 lakh workers have enrolled under Pradhan Mantri Shram Yogi Maan-Dhan (PM-SYM) scheme, launched in 2019.¹²
- **Affordable insurance programmes:** Life and Disability cover is provided through Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY) and Pradhan Mantri Suraksha Bima Yojana (PMSBY) of ₹2 lakh at an annual premium of ₹436 and ₹20 only.
- The new Labour Codes now provide **social security benefits to gig and platform workers** via a Social Security Fund, financed by contributions from the Central and State Governments, Aggregators, CSR etc. Additionally, the definition of Inter-State Migrant labour has been simplified.
- PM Street Vendor's AatmaNirbhar Nidhi (**PM SVANidhi**) Scheme, launched in June 2020 to facilitate collateral-free working capital loans to street vendors has more than 64 lakh beneficiaries to its credit.¹³
- The **One Nation One Ration Card** programme, launched in 2019, has enhanced migrant workers' welfare by allowing portable food security across India. Till December 2023, it facilitated over 124 crore portability transactions.¹⁴
- **Prime Minister's Employment Generation Programme (PMEGP):** The Government is implementing PMEGP for assisting entrepreneurs in setting up of new units in the non-farm sector. It aims to provide employment opportunities to traditional artisans/ rural and urban unemployed youth at their doorstep. Since 2018-19 to 30 January 2024, estimated employment generated (no. of persons) are 37.46 lakhs.
- **Deendayal Antyodaya Yojana – National Urban Livelihoods Mission: (DAY-NULM):** The Mission aims to reduce poverty and vulnerability of the urban poor households by enabling them to access self-employment and skilled wage employment opportunities, resulting in an appreciable improvement in their livelihoods on a sustainable basis. Since 2018-19 to 30 January 2024, estimated number of skill trained candidates placed under DAY- NULM are 5.48 lakhs.

- **Pradhan Mantri Mudra Yojana (PMMY):** PMMY is being implemented by the Government for facilitating self-employment. Under PMMY, collateral free loans up to ₹10 lakh, are extended to micro/small business enterprises and to individuals to enable them to set up or expand their business activities. Around 47.7 crore loans were sanctioned under the scheme as on 29 March 2024.
- **Stand Up India:** Launched on 5 April, 2016, the scheme aims to promote entrepreneurship among the SC/ST and Women by facilitating bank loans of value between ₹10 lakh and ₹1 crore to at least one SC/ ST borrower and one-woman borrower per bank branch of Scheduled Commercial Banks for setting up greenfield enterprises in trading, manufacturing, services sector and in activities allied to agriculture. In FY20, the Stand-Up India Scheme was extended for the entire period coinciding with the 15th Finance Commission period of 2020-25. As of 20 May 2024, loans of ₹51,724 crore have been sanctioned to more than 2.29 lakh accounts under the scheme.¹⁵
- **Start Up India:** Sustained efforts by the Government spanning “simplification and handholding”, “funding support and incentives” and “industry academia partnership and in cubation” have led to an increase in the number of Department for Promotion of Industry and Internal Trade (DPIIT) recognised startups from over 300 in 2016 to 1,17,254, as on 31 December 2023.¹⁶ These recognised startups are reported to have created over 12.42 lakh direct jobs creating significant economic impact.¹⁷
- **Programmes for promoting rural entrepreneurship,** including DAY-NRLM, RSETIs etc., as discussed in the chapter on Social Infrastructure.
- **Flagship programmes:** Besides these initiatives, various flagship programmes of the Government such as Make in India, Digital India, Smart City Mission, Atal Mission for Rejuvenation and Urban Transformation, Housing for All, Infrastructure Development and Industrial Corridors are also oriented towards generating employment opportunities.

What should be done to address unemployment in India

1. Implement a separate National Employment Policy (NEP) to focus on job creation in addition to focus on GDP growth.
 - a. Develop and implement targeted policies to create jobs in high-growth sectors and regions with high unemployment rates. Germany’s “Industry 4.0” initiative and South Korea’s focus on technology startups have created jobs in high-growth sectors, contributing to economic stability and growth.
2. Provide an urban job guarantee program similar to MGNREGA to provide a safety net and a source of income for the urban poor.
3. Increase investment in Agriculture & allied sector.

- a. Focus on Food processing sector
4. Skill Development - curriculum adjustment to align with evolving labour market needs; technology proof job skill should be nurtured; bridge courses and formal mentorship program
5. Growth in sectors with high employment elasticity should be prioritised (tourism, hospitality, financial services, and healthcare; food processing etc)
6. Invest heavily in education and health to equip the workforce with the necessary skills and improve labor force participation. Significant investments in education and healthcare have contributed to China's rapid economic growth and improved labor productivity. Singapore's Skills Future Initiative Provides lifelong learning opportunities and skills training to ensure the workforce remains competitive in a rapidly changing economy.

7. TOPIC 4 - FEMALE LABOUR FORCE PARTICIPATION RATE (FLPR) // GENDER GAP IN LABOUR FORCE PARTICIPATION RATE AND EARNINGS

"Gender equality in labour market is considered to be smart economics to achieve faster economic growth and wealth creation as it has the potential to impact upon poverty, inequality and economic well-being of a country through increase in income of the household, spending on health and education of children, improvement in saving, investment and consumption growth. In an era of globalization, no country can develop and achieve its full potential if half of its population is locked in non-remunerative, less productive and non-economic activities" (World Bank, 2011).

Introduction

- Female participation in Labour Force and access to decent work is very much essential for an inclusive and sustainable development of the country.
- The lower participation of women in economic activities adversely affects the growth potential of the economy.
- While women account for almost half of India's population, their participation in the labour market is almost one-third
- Women workers are the most disadvantaged in the labour market as they constitute a very high proportion among the low skilled informal worker category, and are engaged in low-productivity and low paying work. Owing to this, women earn very low wages, mostly piece rates in highly insecure jobs.

Factors Influencing Female Labour Force Participation

- Supply Side reasons
 - **Education Effect -**
 - i. More women are now pursuing higher education which has delayed their entry into the labour market.

- ii. Also, Higher attendance in schools by girls has resulted in the withdrawal of mothers from labour force to look after the younger siblings.
- **Income Effect**
 - i. Rising household income works as disincentive for female participation in labour market
 - ii. As household income increases, women drop out of the labour force (voluntary withdrawal) as **domestic non-market work is perceived to have a higher status than market work**. (Patriarchal society attitude).
 - iii. Increasing numbers of women prefer to move out of low-productivity, often subsistence employment.
- **Pervasiveness of various gender biased social norms**
 - i. The female LFPR could be low also due to cultural factors, social constraints and patriarchal norms restricting mobility and freedom of women.
- **Unpaid domestic duties/Unpaid care work -**
 - i. The relatively higher responsibilities of unpaid work and unpaid care work could also be constraining women participation in the labour market (World Economic Forum, 2018).
 - ii. Larger proportion of women are opting to stay out of the labour force mainly to attend to 'domestic duties', which clearly reflects the pressure of household and caring responsibilities on women. According to the OECD report (2019), women in India spend on average 352 minutes a day on unpaid work as against 52 minutes by men.
 - iii. family responsibilities - The Economic Survey of 2020, 60% of women in the 15-59-years age group are engaged in full-time housework, as compared to 1% of males.
 - iv. Dual Burden of job and household work.
- **Female employment measurement issues (Problem of Under-estimation)**
 - i. large missing female labour force is owing to measurement fallacy and the difficulty of differentiating between domestic duties and contributing family work.
 - ii. though most women in India work and contribute to the economy in one form or another, much of their work is not documented or accounted for in official statistics, and thus women's work tends to be under-reported.
- **Demand Side reasons**
 - Shrinking Farm job opportunities
 - i. Increasing Mechanisation of Agriculture
 - ii. Low female wages in agriculture sector were driving out females engaged as unpaid labour.
 - iii. The loss of jobs as casual labour in agriculture also led to withdrawal of women from labour force
 - Lack / Scarcity of 'suitable jobs' at the local level (Insufficient job opportunities for women)

- i. In India, where women do most of the housework and child care, working outside the home is acceptable if it is safe and allows multitasking (such as agriculture). However, with shrinking farming job opportunities, there is lack of availability of suitable jobs (allows flexibility, close to home etc.) in other sectors.
- Structural Transformation of economy
 - i. The structural transformation of the economy did not change the labour market commensurately. The fall in employment in agriculture has not shown concomitant increase in opportunities for women in the manufacturing sector where most women with middle to secondary levels of education and from middle income groups are likely to look for employment
 - ii. Withdrawal of men from agriculture and shift to the construction sector in urban areas, led to loss of jobs for rural women who were engaged as unpaid labour along with the men
- Gender Wage gap
 - i. Oxfam India's India Discrimination Report 2022 - highlighted the gender pay gap in India, with women facing bias in recruitment and pay across the country. Disparities in earnings were observed across casual work, regular jobs, and urban self-employment.
 - ii. As per World Economic Forum's Gender Gap Report 2022, India ranked 135 out of 146 countries

Govt Initiatives to Improve Female Work Participation

- **Beti Bachao Beti Padhao** - creating awareness among the people to educate all girl children in the country
- **National Education Policy (NEP), 2020**: The policy prioritises gender equity and envisions ensuring equitable access to quality education to all students, with a special emphasis on Socially and Economically Disadvantaged Groups
- **Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA)** is one of the important schemes which ensures participation by women in the economic activity by stipulating minimum 33 per cent participation by women
- **Maternity Benefit (Amendment) Act, 2017** - The women are entitled to enhanced maternity leave for a period of 26 weeks (6 months) working in registered establishment under any Central or State law. It has been made mandatory for the establishments employing 50 or more employees to provide crèche facility, either separately or along with common facilities within a prescribed distance.
- **Safety of Women at Workplace**: The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 covers all women, irrespective of their age or employment status and protects them against sexual harassment at all workplaces both in public and private sector, whether organized or unorganized. The Act mandates all the workplace having more than 10 workers to constitute Internal Complaint Committee (ICC) for receiving complaints of sexual

harassment. Similarly, the appropriate Government is authorized to constitute Local Complaint Committee (LCC) in every district which will receive complaints from organizations having less than 10 workers or if the complaint is against the employer himself.

- **Mahila Shakti Kendra Scheme:** This scheme aims to empower rural women through community participation. The scheme envisages community engagement through College Student Volunteers to empower rural women in 115 aspirational districts as part of block level initiatives.
- **Working Women Hostels:** To provide safe and affordable accommodation to working women, Working Women Hostels have been established. These hostels have day care facility for the children of inmates too.
- **Female Entrepreneurship:** To promote female entrepreneurship, the Government has initiated schemes like: MUDRA, Stand Up India and Mahila e-Haat (online marketing platform to support women entrepreneurs/ SHGs/NGOs).
 - Pradhan Mantri Mudra Yojana (PMMY) provides access to institutional finance to micro/small business units upto Rs. 10 lakh. Out of total beneficiaries, almost 75 per cent were women borrowers.
 - To encourage further coverage of women borrowers, the Micro Units Development and Refinance Agency Ltd. (MUDRA) extends a rebate of 0.25 per cent on its refinance interest rate for PMMY loans given by Micro Finance Institutions to women borrowers.
 - Stand-UP India, the Government provides bank loans between ` 10 lakh and ` 1 crore to at least one Scheduled Caste (SC)/ Scheduled Tribe (ST) borrower and at least one- woman borrower per bank branch for setting up greenfield enterprises in the manufacturing, services or the trading sector.
 - **Mahila E-Haat** - It provides an e-marketing platform by leveraging technology for showcasing product made/manufactured/sold by women entrepreneurs/SHGs/NGOs.
- **Prime Minister's Employment Generation Programme (PMEGP):** Under the scheme, women entrepreneurs are provided 25 per cent and 35 per cent subsidies for the project set up in urban and rural areas respectively.
- **Deendayal Antyodaya Yojana- National Rural Livelihoods Mission (DAY-NRLM)** - seeks to reach out to 8-9 crore rural poor households and organize one-woman member from each household into affinity-based women SHGs and federations at village and at higher levels. Support is provided to the women for employment and self-employment venture under the scheme to enhance their farm livelihoods and non-farm livelihood through various components of schemes such as organic farming, Krishi Sakhi, Pashu Sakhi, dairy value chain interventions, Aajeevika Grameen Express Yojana, Start-up Village Entrepreneurship Programme etc. DAY-NRLM provides Revolving Funds (RF) at the rate of ` 10,000-15,000 per SHG and Community Investment Support Fund (CISF) to the extent of ` 2.5 lakh per SHG to support their income generating and livelihood activities.
- **One Stop Centre (OSC):** This scheme facilitates access to an integrated range of services including police, medical, legal, psychological support and temporary shelter to women affected by violence. One Stop Centres are being set up in all districts of the country.

Way Forward

- In order to incentivise more women to join into the labour force, investment in institutional support to affordable and quality child care facilities, paid paternal leave, family-friendly work environment, and support for elderly care needs to be made.
- There is also a need to promote non-discriminatory practices at the workplace like pay and career progression, improve work incentives, including other medical and social security benefits for female workers.

8. TOPIC 5 - DATA SOURCES ON EMPLOYMENT AND UNEMPLOYMENT - VARIOUS ISSUES

"Availability of robust data is essential in diagnosing the right problem and to target and to devise smart solutions for it"

"More than a lack of jobs, the issue is a lack of data on jobs." (PM Modi in 2018)

Data Sources on employment & Unemployment

Agency	Sectors/Areas	Limitations
Labour Bureau Quarterly Quick Employment Survey (QES)	8 selected labour- intensive and export-oriented sectors.	Partial coverage, inadequate sample size, low frequency, long time lags, double counting, conceptual differences and definitional issues, rarely used for the purpose of employment estimation etc.
Labour Bureau Annual Employment-Unemployment Survey (EUS)	Household sample surveys	
CSO, MoSPI Annual Survey of Industries (ASI)	Data on employment, absenteeism, labour turnover, earnings and labour cost by components in manufacturing sector.	
NSSO, MoSPI Quinquennial Employment and Unemployment Survey	Household sample surveys	
O/o RGI & Census Commissioner Population Census Report	Covers all types of workers at 10 years interval	
O/o RGI & Census Commissioner Population Census Report	Covers all non-agricultural enterprises regardless of size or sectors. Irregular frequency	
NSSO, MoSPI Unorganized Sector Surveys of Industries and Services	Covers un-organized non-agricultural enterprises across manufacturing, services and trade. Based on sample frame of Economic Census having low and irregular frequency	
Ministry of MSME MSME Census	So far, only four surveys have been conducted. Last survey was conducted in 2006-07	
Administrative Sources EPFO, ESIC, NPS and private sector	Includes only formal sector	

Measurement of Unemployment

There are four potential sources of measuring employment and unemployment:

1. Household surveys
2. Enterprise surveys / Establishment Surveys
3. Administrative data
4. Data from Government schemes

Household Surveys

Examples

1. Quinquennial Employment & Unemployment Survey by NSSO, MoPSI
 - last survey was conducted in 2011–12. It has been discontinued.
2. Annual Employment & Unemployment Survey by Labour Bureau.
 - Started in 2010. It was scrapped in 2017.
3. Population Census (Office of Registrar General & Census Commissioner)
 - Last census was conducted in 2011

Benefits

1. Comprehensive cover entire labour force.
2. Capture both the organized and unorganized sectors, particularly the self-employed.
3. Provide the most statistically valid estimates of employment and unemployment for an entire economy.

Limitations

1. Low frequency
2. Long time lag between data collection and publication of result
3. Unable to capture dynamic / short time changes in economy.
4. Conceptual differences

Enterprise surveys / Establishment Surveys

Example

1. Economic Census (EC)
 - covers the entire universe of non-agricultural establishments regardless of size or sector. It extends to both industrial and services establishments.
 - it has been conducted at low frequencies and at irregular intervals (first conducted in 1977)
 - 7th Economic census started in 2019. But results have still not been published.
2. Annual Survey of Industries (ASI) (MoSPI)
 - counts enterprises registered under the Factories Act, 1948.
 - Time Lag; Limited coverage (it only covers industrial units with 10 or more workers if using power and 20 or more workers if not using power)
3. NSSO's "Unincorporated Non-agricultural Enterprises (excluding construction) - quinquennial survey"
 - provides data on unregistered firms
4. Quarterly Employment Survey (QES) (Labour Bureau)
 - measures employment in eight broad sectors of industry and services.
 - It covers enterprises with more than 10 workers in both urban and rural areas.
 - Limited Coverage
5. MSME Census (Ministry of Micro, Small and Medium Enterprises)
 - The Census refers to firms defined by the Micro, Small and Medium Enterprises Development (MSMED) Act, 2006.

Benefits

1. It provides a more detailed picture of the industry structure of employment, associated wages and characteristics of establishments.
2. Enterprises have a more accurate idea of their industry classification than households, which increases the accuracy of workers' industry classification in these surveys.

Limitations

1. Less exhaustive than Household survey
2. It do not adequately cover the self-employed and farm workers (fails to capture the entire non-agricultural workforce)
3. Available sample frames for drawing samples for such surveys often do not cover small, unorganized enterprises and therefore leave out workers employed by them.
4. Absence of a reliable sample frame of all enterprises that is updated with high frequency. For example - the only potential sample frame of establishments that is maintained on a regular basis consists of enterprises registered under the Factories Act, 1948. But only industrial establishments with 20 or more workers if not using power and those with 10 or more workers if using power are required to register under this Act. This leaves out all service sector establishments and all industrial establishments employing less than 10 workers if using power and less than 20 workers if not using power.

Administrative Data

Example

1. It includes the data from Employees' Provident Fund Organization (EPFO), the Employees' State Insurance Corporation (ESIC), the National Pension Scheme (NPS) and other similar sources relating to large private organizations.

Benefits

1. In the Indian context, employment statistics from administrative data can be useful sources of counting workers engaged in formal employment.

Limitations

1. These sources are even more partial in coverage than enterprise surveys.
2. Additions to these databases may not necessarily represent additional jobs. Instead, such additions may simply represent enrolment of individuals already working but not previously enrolled in the plans or programmes.
3. For example, only firms with 20 or more workers are required to contribute to EPFO for their employees. This means that when a firm with 19 workers adds another worker to its payroll, it must begin contributing to the EPFO for all its employees. In the EPFO database, this will add 20 employees. Yet, only one out of these 20 employees represents a new job.

Government Schemes

1. Government undertakes large-scale social and economic programs that employ a significant number of workers. Education and health are particularly important sectors from this viewpoint. Jobs generated by these schemes can provide valuable information on certain categories of workers.
2. Limitations - a) highly partial coverage b) double counting

DEFICIENCIES IN EXISTING DATA ON EMPLOYMENT

1. Partial coverage
2. Inadequate sample size
3. Low frequency & long time lags
4. Double counting
5. Conceptual differences and definitional issues
6. Rarely used for the purpose of employment estimation etc.

ADDRESSING THE DEFICIENCIES IN THE EXISTING DATA ON EMPLOYMENT

1. To address the deficiencies in the existing data on employment, a Task Force was set up under the chairmanship of the Vice Chairman, NITI Aayog. (2017)
2. Some of the Recommendations of the task force
 - a. Estimates of the labour force, employment and unemployment on an annual basis in rural and urban areas and for the two areas combined at the national and state levels for the entire
 - b. population
 - c. Quarterly estimates of employment for the urban population at the national and state levels

SIGNIFICANT CHANGES INTRODUCED

1. Replacement of NSSO's quinquennial Employment and Unemployment Surveys with the Annual Periodic Labour Force Survey (PLFS).
 1. At present, PLFS conducted by MoSPI is the authentic data source of employment/unemployment indicators in India
2. Introduction of monthly payroll data
 1. The Government has been bringing out the employment related statistics in the formal sector (since April 2018) covering the period September 2017 onwards, using information on the number of subscribers who have subscribed under three major schemes, namely, the Employees' Provident Fund (EPF) Scheme, the Employees' State Insurance (ESI) Scheme and the National Pension Scheme (NPS).
 2. Employees' Provident Fund Organization (EPFO) data covers workers in medium and large establishments of formal sector.
 3. EPFO is publishing its monthly Payroll Data since September, 2017 which gives an idea of the level of employment in the formal sector.

A) WHAT ARE THE LIMITATIONS OF THE CURRENT METHODS OF MEASURING UNEMPLOYMENT IN INDIA?

1. A definition of unemployment that focuses on actively searching for a job may underestimate the true picture in a developing economy. In India the decisions to search work are constrained by social norms.
 - a. For example - According to a 2009-10 survey undertaken by the National Sample Survey Organisation (NSSO), 33.3% of rural women and 27.2% of urban women aged 15 and above who were engaged in domestic work reported willingness to work if it were made available within the premises of the household. This represents 18.8% of the rural female population aged 15 and up; the labour force participation rate (LFPR) for rural women that year was 26.5%. These women would not be counted among the unemployed because they are not actively looking for work.
2. In India, where casual and intermittent work and part-time and temporary jobs are widespread, employment estimates based on UPSS approach tend to include the under-employed workforce. Consequently, unemployment rates derived from the usual status approach give a misleading picture of the extent of labour underutilisation and the employment challenge faced by the economy.
3. Employment in India is dominated by low-wage and low-productivity jobs in the unorganized sector.
4. Also, evidence suggests that the organized sector has witnessed rapid informalization over the years through the contractualization and casualization of the workforce.
5. Further, new jobs being created in the platform economy (gig workers) are also non-standard in nature and are outside the ambit of labor regulations.
6. Thus, as old forms of informal employment persist, new forms are also emerging and there is an urgent need to improve statistics on the informal economy so that we have a nuanced understanding of the dynamics underlying this sector.

Way Forward

1. **Adopt International Standards for Employment Data Collection:** The ILO has urged India to follow the standards laid down by the 19th International Conference of Labour Statisticians (ICLS-19), which recommends using short-term employment measures and focusing on paid work. For example, the United States and European Union countries use these standards to ensure consistency and reliability in their labor statistics.
2. **Strengthen Data Collection for the Unorganized Sector:** Improve data collection methodologies for the unorganized sector by conducting more frequent and comprehensive surveys. The ASUSE survey should be conducted annually with updated sampling frames to reflect current economic conditions and structural changes. Countries like Brazil and Mexico have developed robust systems for collecting data on their informal sectors, including frequent surveys and administrative records to capture employment trends accurately.

“The challenge today is not only to create enough jobs but also the quality of jobs that pay enough to end poverty”

Introduction

- **Informal Sector** : As per National Commission for Enterprises in Unorganized Sector (NCEUS) classification, “The unorganised sector consists of all unincorporated private enterprises owned by individuals or households engaged in the sale and production of goods and services operated on a proprietary or partnership basis and with less than ten total workers.”
 - unincorporated enterprises owned by households.
 - units engaged in the production of goods or services with the primary objective of generating employment and incomes to the persons concerned.
 - These units typically operate at a low level of organization, with little or no division between labour and capital as factors of production and on a small scale.
 - Labour relations are mostly casual and not contractual.
- **Informal Employment / Worker** - Informal workers consist of those working in the unorganised enterprises or households, excluding regular workers with social security benefits, and the workers in the formal sector without any employment benefits /social security provided by the employers.
- **Informal Economy** - The informal sector and its workers plus the informal worker in the formal sector constitute the formal economy.

Informalisation of Workforce

- There is increasing trend of informalization of industrial labour in India. It has taken two forms: a) rising share of the unorganized sector in overall employment levels and b) informalization of the organized manufacturing sector itself through subcontracting and use of temporary and contract workers.
- Traditionally it has been recognized that the firms in the informal segment are less productive than the firms in the formal segment of the manufacturing sector. This is due to the general properties of the informal sector– lack of legislation, small size of the firms, lower access to credit etc
- ‘Informalization’ is a serious issue of concern because if industrialization does not create many good jobs for people to shift from low productivity occupations, it cannot make a big contribution to economic development. Also available evidence show that wages and employment benefits received by informal workers are much lower than those of regular wage workers and the incidence of poverty is much greater among informal workers than the regular wage workers, so informalization may also lead to widening income inequality.
- Generally, the ‘informal’ activities lack social protection and insurance; has low productivity and low wages; has small size of firms; is a small contributor to national exchequer; etc. As a result an economy may have persistent poverty and inequality.

Reasons for rising Informalisation of workforce in India

1. Complex and Rigid Labour Laws

- Strict and inflexible labour laws prevent formalisation.
- It **disincentives** firms to hire regular workers as it limits firms ability to hire and fire in response to the dynamic market environment.
- It had led to mushrooming of tiny units (employing at best 2 to 9 workers), and in self employment.
- **Missing Middle** phenomenon. (there are a large number of small firms, some large firms, but very few medium-sized firms.)
- **Dwarfism** (smaller firms, employing less than 100 workers) dominate the Indian economy, these never grow beyond their small size in order to get tax benefits and incentives, and hold back job creation and productivity. (Economic Survey)
- The **regulatory cholesterol** has encouraged firms to opt for more contract labour. (12% in 1999 to 26% in 2004-05 to 36% in 2017-18)

2. Increasing competition (particularly international competition)

- increasing competition due to openness induces high pressure to reduce costs.
- Low wages of informal workers (temporary workers, casual labour and contractual labour) help in reducing costs and thus improving competitiveness
- Internationalization of the production process
- Organised sector moving towards capital intensive than labour intensive

3. Skill deficit (lack of employability)

- Organised manufacturing and Service sector requires skilled jobs.
- Majority of population have been absorbed in low skill jobs - agriculture, construction, or unorganized manufacturing.

4. Lopsided structural change in GDP

- India leapfrogged from Agriculture to Services.
- Stagnating manufacturing sector unable to provide required formal and well paying jobs

5. Unintended impact of Government Policies

- Indian strategy of Industrialisation (heavy industries, developing a public sector etc.) has been **emphasis on capital intensive sectors and less focus on labour intensive sectors**

6. Financial institutes like the IMF (International Monetary Fund), argue that excessive regulation and taxation ensure the endurance of informal activities (eg – mandatory contribution to EPF)

7. Rise of Gig Economy

Contract Workers

Positives of contract labour for firms

1. Contract workers are paid less than regular workers

2. It provides flexibility in hiring and laying offs: In case of regular workers, there is a need for intimation to government and payment of compensation for termination.
3. Labour intensive sectors like automobile, construction, mining have project based labour requirements. Hence, they require greater flexibility.
4. Third party agents are used for hiring contract labour. Hence obligations under Contract Labour Act is shifted to agents. This reduces compliance costs
5. Worker protection and rights are not employer's liabilities.

Negatives of contract labour for firms

1. Hiring workers through contract is more expensive (14% more expensive)
2. Firms do not invest in employees skill development
3. Impact on workers protection and workers right

Consequences of increase in 'informal' economy and 'informal' employment.

1. Low productivity
2. Low wage
3. Insecure employment
4. Lack of social protection & insurance
5. small size of firms
6. Jeopardises inclusive growth & competitiveness
7. As a result an economy may have persistent poverty and inequality

Government efforts

1. Pradhan Mantri Rojgar Protsahan Yojana (PMRPY) with the objective to incentivise employers for creation of new employment and also aimed to bring informal workers to the formal workforce.
2. Aatmanirbhar Bharat RozgarYojana (ABRY): It has been launched to incentivize employers for creation of new employment along with social security benefits and restoration of loss of employment during COVID-19 pandemic
3. E – Shram portal
4. Improving Employability through skill training - National Apprenticeship Promotion Scheme (NAPS), Pradhan Mantri Kaushal Vikas Yojana (PMKVY), Jan Shikshan Sansthan (JSS) Scheme and Craftsman Training Scheme (CTS) through Industrial Training Institutes (ITIs) to enhance the employability of youth.
5. Labour law Reforms - Consolidation of plethora of Labour laws into four labour codes
6. The Production Linked Incentive (PLI) scheme is being implemented by the Government with an outlay of Rs. 1.97 lakh crore, for a period of 5 years starting from 2021-22 which have potential for creating 60 lakh new jobs.

Way forward

1. Government needs to focus on expansion of the organised sector and the labour intensive sector within the organised sector. For example - Food processing industries; Apparel, footwear, toy industry
2. Imparting skills relevant to particular industry
3. Focus on boosting exports by integrating manufacturing units into Global Supply chains

10. TOPIC 7 - SKILLING OF WORKFORCE

“Skill development of the new generation is a national need and is the foundation of Aatmnirbhar Bharat”.
PM Modi

“The future labour market situation of young persons is highly influenced by their initial experiences, including how quickly and how well they are able to access the labour market, and the skills and competencies acquired through education and training.” (ILO, 2019).

Introduction

- Skilled labour force is essential to meet diversified demands of a growing economy, to tap the benefit of demographic dividend. The schooling system improves the educational level of the population. It is skill training that equip the youth to enter the labour market and improves their employability.
- India's skilling paradox – dual challenge of shortage of trained workforce and non employability of large number of educated youth (who possess little or no job skills)

Need for Skill Development

- 1) Skills and knowledge are the driving forces of economic growth and social development for any country.
- 2) India currently faces a severe shortage of skilled workers It is estimated 2.3% of the work force in India has undergone formal skill training (South Korea 96%; Japan 80%; Germany 75%)
- 3) India is having world's largest youngest population (Demographic Dividend)
 - a) More than 54 % of its total population is below 25 years of age and over 62 % of the population is in working age group (15 to 59 years).
- 4) To create more formal jobs

Challenges in the skilling and entrepreneurship landscape in the country

- 1) The present measure of outcomes in skill training includes only number of persons trained, which is uni-dimensional. The outcome measures for skill training should take into account parameters to make it multi-dimensional, by including person days, person hours, weighting for level of training, weighting for duration of training and other appropriate weighting.
- 2) Public perception that views skilling as the last option meant for those who have not been able to progress/opted out of the formal academic system.

- 3) Skill development programmes of the Central Government are spread across more than 20 Ministries/Departments without any robust coordination and monitoring mechanism to ensure convergence.
- 4) Multiplicity in assessment and certification systems that leads to inconsistent outcomes and causes confusion among employers.
- 5) Paucity of trainers, inability to attract practitioners from industry as faculty.
- 6) Mismatch between demand and supply at the sectoral and spatial levels.
- 7) Limited mobility between skill and higher education programs and vocational education.
- 8) Very low coverage of apprenticeship programs.
- 9) Narrow and often obsolete skill curricula.
- 10) Predominant non-farm, unorganised sector employment with low productivity but no premium for skilling.

Government efforts

1. National Policy on Skill Development & Entrepreneurship, 2015
2. Skill India Mission
3. setting up of a Ministry for Skill Development & Entrepreneurship
4. Pradhan Mantri Kaushal Vikas Yojana (PMKVY) 2016-20 which enables large number of prospective youth to take up Short Term Training (STT) and Recognition of Prior Learning (RPL) through empanelled training centers /training providers (TCs/TPs) throughout the country.
5. The Government imparts short term skill training through Pradhan Mantri Kaushal Vikas Yojana (PMKVY) and long term training largely through Industrial Training Institutes (ITIs). Model Skill Centers are being set up in every district of the country while ensuring coverage of all the parliamentary constituencies under Pradhan Mantri Kaushal Kendra Scheme
6. **Skill India Mission**
 - Launched in 2015, Skill India Mission focuses on re-skilling and up-skilling in prominent trades. Under the Mission government implements Pradhan Mantri Kaushal Vikas Yojana (PMKVY), Jan Shikshan Sansthan (JSS) Scheme and National Apprenticeship Promotion Scheme (NAPS), for providing short term Skill Development training and Craftsman Training Scheme (CTS), for long term training, to the youth.
 - Pradhan Mantri Kaushal Vikas Yojana (PMKVY)
 - PMKVY has two training components, viz., Short Term Training (STT) and Recognition of Prior Learning (RPL).
 - Prior Learning (RPL): RPL's objectives are (i) to align the competencies of the unorganized workforce of the country with the standardized National Skill Qualification Framework; (ii) to enhance the opportunities for employment and provide alternative means for higher education; (iii) to provide opportunities for reducing inequalities. As on 15th January 2022 , more than 63 lakh beneficiaries have been certified across 37 different sectors.
 - Jan Shikshan Sansthan (JSS) Scheme
 - JSS aims to provide vocational skills to non-literate, neo-literates, persons with rudimentary level of education up to 8th and school dropouts up to 12th standard in

the age group of 15-45 years. The priority groups are women, SC, ST, minorities, divyangjan and other backward sections of the society. The Jan Shikshan Sansthan work at the doorstep of the beneficiaries with minimum infrastructure and resources. Under the scheme grant is released to Jan Shikshan Sansthan (NGOs) for Skill Development.

- National Apprenticeship Promotion Scheme (NAPS)
 - This Scheme promotes apprenticeship training and the engagement of apprentices by providing financial support to industrial establishments undertaking apprenticeship program under The Apprentices Act, 1961.
 - Craftsmen Training Scheme (CTS)
 - CTS is for providing long-term training in 137 trades through 14,604 Industrial Training Institutes (ITIs) across the country.
7. India International Skill Centre (IISC) Network
- IISC Network is catering to the needs of foreign countries where Indian manpower is in demand. The IISC Network is a fee-based market driven model; based on global workforce supply and demand dynamics. It provides incremental skill training on international standards and assessment of skills for overseas employment. India has agreements with Germany, Belarus, United Kingdom, France, Australia, Japan and Qatar in the field of apprentices/training.
8. Aatmanirbhar Skilled Employees Employer Mapping (ASEEM) portal
- ASEEM, a digital platform, created to match supply of skilled workforce with the market demand, acts as a directory of skilled workforce.
9. Pradhan Mantri Dakshta Aur Kushalta Sampann Hitgrahi Yojana (PM-DAKSH)
- PM-DAKSH Yojana is a national action plan for skilling of marginalized persons including scheduled castes, backward classes and safai karamcharis.

What more can be done to Bridge the disconnect in the Skilling Ecosystem

1. coordinated and concerted efforts between various Departments/Ministries and State governments for improving quality, relevance, quantity, aspirations, mobility and financing of skill development
2. Approximately 30 per cent of the surveyed STT (Short Term Training) participants in PMKVY were not looking for employment currently. At implementation level, proper pre-screening on the candidates should be done and ensure that only eligible candidates are enrolled for the programme. Moreover, stronger facilitation support to avail MUDRA loan should be provided to PMKVY certified candidates.
3. Skill Voucher can be introduced as a financing instrument given to a beneficiary that enables them to sign up for vocational education course at any accredited training institute. Once training is completed, the accredited
4. Industry should be incentivized to set up training institutions in PPP mode. Local Industry must be involved for curriculum development, training modules, provision of equipment, training of trainers etc. Industry can help in developing a database of instructors for selection of Training providers.
5. The personnel of Railways and other para-military forces could be used for skill training or lending institutional support in imparting training in hilly, inaccessible and difficult terrains. Local bodies can

be used for skill mapping and creating a data base of youth at local level to assess demand supply gaps.

11. TOPIC -8 LABOUR LAW REFORMS

Introduction

- The Government has promoted simplification of labour laws, as recommended by the National Commission on Labour in 2002. The Government rationalised and amalgamated 29 central laws into four Labour Codes in 2019 and 2020. The four Labour Codes are - (i) the Code on Wages, 2019, (ii) the Industrial Relations Code, 2020, (iii) the Occupational Safety, Health and Working Conditions Code, 2020 and (iv) the Code on Social Security, 2020.
- This was to promote employment creation and freeing workers from the web of legislations many of which trace their origins to the pre-independence period, reduce multiplicity of definitions and authorities relating to labour, and to induce transparency, accountability, and use of technology in enforcement of labour laws.
- All four labour codes have been notified by the central government.

Why Labour Law Reforms are needed

1) Multiplicity/ plethora of Laws

- a) centre >40 and in states >100
- b) separate law for different industry (mines, plantation, journalism etc)
- c) multiple laws each on wages, industrial safety, industrial relations, social security, industrial disputes etc
- d) Several laws have differing definitions of common terms such as “appropriate government”, “worker”, “employee”, “establishments” and wages, resulting in varied interpretations
- e) Increases compliance costs and negatively impacts ease of doing business

2) Disincentivises growth of firm

- a) Adverse incentive for firms to remain small to avoid high compliance cost of labour laws
- b) The 6th Economic Census (2013-14) reported that there were 5.9 crore establishments in India employing 13.1 crore people. But, around 79% workers were in establishments with less than ten workers.
- c) Lack of an easy exit option

3) Encourages informalisation – Increase use of contract labour resulting in exploitation of labour

- 4) Firms engaging in capital intensive sector rather than labour intensive sector
- 5) Labour laws only cover organised sector (<10% of work force)

Key Government initiative for Labour Reform

- 1) Technological Reform

- a) "Ease of Compliance to maintain Registers under various Laws Rules, 2017" wherein 56 forms/registers prescribed under 9 Central Laws and Rules made there under, into 5 common registers/forms. Besides, a common registration form for registering of a new firm has been provided on e-Biz Portal. These registers/forms can also be maintained in a digitized form.
- b) Ease of Compliance to maintain registers under various Labour Laws/Rules. These registers/forms can also be maintained in a digitized form.
- c) Shram Suvidha Portal
- d) SAMADHAN Portal – An e-dispute portal for filing industrial disputes by workers/employer
- e) e-Biz Portal - provides a common registration form for registering of a new firm
- f) Universal Account Number (UAN) - to reduce the complexity in compliance and to bring transparency and accountability for better enforcement of the labour laws.
- g) National Career Service portal (www.ncs.gov.in) - It links all employment exchanges of the country to facilitate online registration and posting of jobs for job-seekers and to provide employment related services like career counselling, vocational guidance, information on skill development courses and internships.

2) Legislative Reform

- a) Maternity Benefit (Amendment) Act – paid maternity leave for 26 weeks
- b) Child Labour Prohibition and Protection Amendment Act 2016 – complete prohibition of employment of children under 14 years with few exceptions)

ESI 2023-24 - Re-balancing Labour Regulations to promote employment

Even though central government is going for labour law reforms, there exists other regulator hurdles for employment generation in the country. Some of these rules are given below

- Higher overtime wage premium compared to peers and advanced economies
 - A comparison with other countries reveals that India's stricter overtime wage regulations are potentially hindering the growth of the manufacturing sector by driving production to nations with lower overtime costs
- Systematic barriers to job opportunities for women
 - The 10 most populous states collectively impose 139 prohibitions on women from participating in factory processes such as electroplating, petroleum generation, manufacturing of products such as pesticides, glass, rechargeable batteries etc.
- Welfare demand discourages growth
 - India prescribes higher floor space per worker on a factory floor compared to other countries.
 - An Indian factory with 1,000 square metres (sqm) of usable floor space can employ up to 82 more workers if India were to adopt Malaysia's standard. 20 Increases in space requirements can discourage the expansion of factories.
- Inflexibility in working hours
 - Many countries offer more flexibility in organising work hours and allow for more overtime compared to India. This is limiting the monetisable time for Indian workers and affecting their families and the country's prosperity

Way Forward

Labour Laws need to be reviewed to re-evaluate incentives for employers, with a focus on achieving better outcomes for economic growth and prosperity in the manufacturing sector. Implementing more flexible labour laws could unleash substantial economic potential, promote gender inclusivity, and attract industrial investment.

12. TOPIC 9 - THE EVOLVING LANDSCAPE OF JOBS IN INDIA [ES 2023-24]

- In the recent time, the nature of work is changing which is disrupting the global labour market. According to the World Economic Forum's (WEF) Future of Jobs report, 2023, in the next five years, 23% of the jobs are expected to change globally. There will be a net decrease of 14 million jobs, or 2 per cent of current employment.
- The following are some ways in which the work environment is evolving.

1. Fourth Industrial Revolution

- It is characterised by technological revolution - Evolving forms of machine learning, AI, blockchains, genetic engineering, quantum computing, advanced analytics, automation, and advanced manufacturing technology
- technology is becoming embedded within societies through 'cyber-physical systems,' Internet of Things (IoT), big data, nano-technology, and networks.
- the future of job markets in India is undergoing a significant transformation
 - demand for digital roles is proliferating
 - growing demand for tech-savvy professionals trained in emerging areas such as big data, AI and machine learning, cybersecurity, cloud computing, etc.
 - According to the WEF, the fastest-growing jobs in the next five years will be those of AI and machine learning specialists, sustainability specialists, business intelligence analysts and information security specialists; the largest absolute growth is expected in education, agriculture, and digital commerce.

2. Shift towards Gig Economy

- It encompasses freelancers, online platform workers, self-employed, on-call workers, and creative tech talent
- Rise of the gig economy in India is driven by - a) the emergence of tech-enabled platforms, b) an increase in access to the internet backed by the development of digital public infrastructure, c) the demand for flexible work arrangements, and d) the focus on skills.
- Facts -
 - According to NITI Aayog's, 77 lakh (7.7 million) workers were engaged in the gig economy constituting 2.6 per cent of the non-agricultural workforce or 1.5 per cent of the total workforce in India.
 - The gig workforce is expected to expand to 2.35 crore (23.5 million) by 2029–30. Gig workers are expected to form 6.7 per cent of the non-agricultural workforce or 4.1 per cent of the total livelihood in India by 2029–30

- Positives - It may open up employment opportunities for various sections of workers, including youth, persons with disabilities, and women
- Concerns - creation of effective social security initiatives for gig and platform workers. (The Code on Social Security (2020) marks a significant advancement by expanding the scope of social security benefits to encompass gig and platform workers.)

3. Climate change and green energy transition

- Climate change → extreme weather event → possible loss of jobs and productivity
- As per ILO - in 2030, 3.8 per cent of total working hours worldwide will be lost to high temperatures – the equivalent of 136 million full-time jobs– and economic losses of \$2,400 billion.
 - India is one of the most vulnerable countries to productivity losses, given its high share of agricultural and construction employment and location within the tropical latitude.
 - Affects workers well being especially manual workers.
- Climate change mitigation efforts
 - Adoption of green technologies and transitioning to greener energy alternatives.
 - This trend is leading to businesses witnessing a strong job-creation effect driven by investments that facilitate the green transition of businesses and the application of ESG standards.
 - For example - In India, by 2030, clean energy initiatives can potentially create about 3.4 million jobs (short and long-term) by installing 238 GW of solar and 101 GW of new wind capacity to achieve the 500 GW non-fossil electricity generation capacity.

Requirement of job creation until 2036

- Indian economy needs to generate an average of nearly 78.5 lakh jobs annually until 2030 in the non-farm sector to cater to the rising workforce
- there is scope to supplement the existing schemes of PLI (60 lakh employment generation over 5 years), 61 MITRA Textile scheme (20 lakh employment generation), 62 MUDRA, etc.
- ES identifies two sectors for further job creation
 - Agro-processing
 - Care Economy